

Educational Material on Indian Accounting Standard (Ind AS) 116 Leases

Indian Accounting Standard (Ind AS) 116, Leases, was notified as part of the Companies (Indian Accounting Standards) (Amendment) Rules, 2019, issued by the Ministry of Corporate Affairs, Government of India, vide notification dated March 30, 2019. These Rules came into force w.e.f. April 1, 2019. Accordingly, Ind AS 116, comes into effect in respect of annual reporting periods beginning on or after 1st April, 2019.

I. Ind AS 116 – Summary

[The purpose of this summary is to help the reader gain a broad understanding of the principal requirements of Ind AS 116 (or 'the Standard'). Reference should be made to the complete text of the Standard for a complete understanding of these requirements or in dealing with a practical situation.]

Summary of Ind AS 116

Background

Ind AS 116 brings significant changes in accounting requirements for lease accounting, primarily for lessees. Ind AS 116 replaces the following Indian accounting standard and relevant appendix on leases:

- Ind AS 17, *Leases*
- Appendix A - Evaluating the Substance of Transactions Involving the Legal Form of a Lease
- Appendix B - Operating Leases – Incentives
- Appendix C - Determining whether an Arrangement contains a Lease

The effective date of Ind AS 116 is for annual reporting periods beginning on or after 1 April, 2019. For lessees, there is a choice of full retrospective application (i.e. restating comparatives as if Ind AS 116 had always been in force), or retrospective application without restatement of prior year

comparatives. This results in the cumulative impact of adoption being recorded as an adjustment to equity at the beginning of the accounting period in which the standard is first applied (the date of initial application).

Scope

The scope of Ind AS 116 is broadly same as Ind AS 17 in that it applies to contract meeting the definition of lease except for:

- a) Leases to explore for or use minerals, oil, natural gas and similar non-regenerative resources;
- b) Leases of biological assets within the scope of Ind AS 41, *Agriculture* held by a lessee;
- c) Service concession arrangements within the scope of Appendix D, *Service Concession Arrangements* of Ind AS 115, *Revenue from Contracts with Customers*;
- d) Licences of intellectual property granted by a lessor within the scope of Ind AS 115, *Revenue from Contracts with Customers*; and
- e) Rights held by a lessee under licensing agreements within the scope of Ind AS 38, *Intangible Assets* for such items as motion picture films, video recordings, plays, manuscripts, patents and copyrights.

Lessee may, but is not required to, apply this Standard to leases of intangible assets other than those described in above point (e).

Recognition exemption

In addition to the above scope exclusions, a lessee can elect not to apply Ind AS 116's recognition and requirements to:

- a) Short-term leases; and
- b) Leases for which the underlying asset is of low value ('low value leases').

An underlying asset can be of low value only if:

- (a) the lessee can benefit from use of the underlying asset on its own or together with other resources that are readily available to the lessee; and
- (b) the underlying asset is not highly dependent on, or highly interrelated

with, other assets.

Short-term lease: A lease that, at the commencement date, has a lease term of 12 months or less. A lease that contains a purchase option is not a short-term lease.

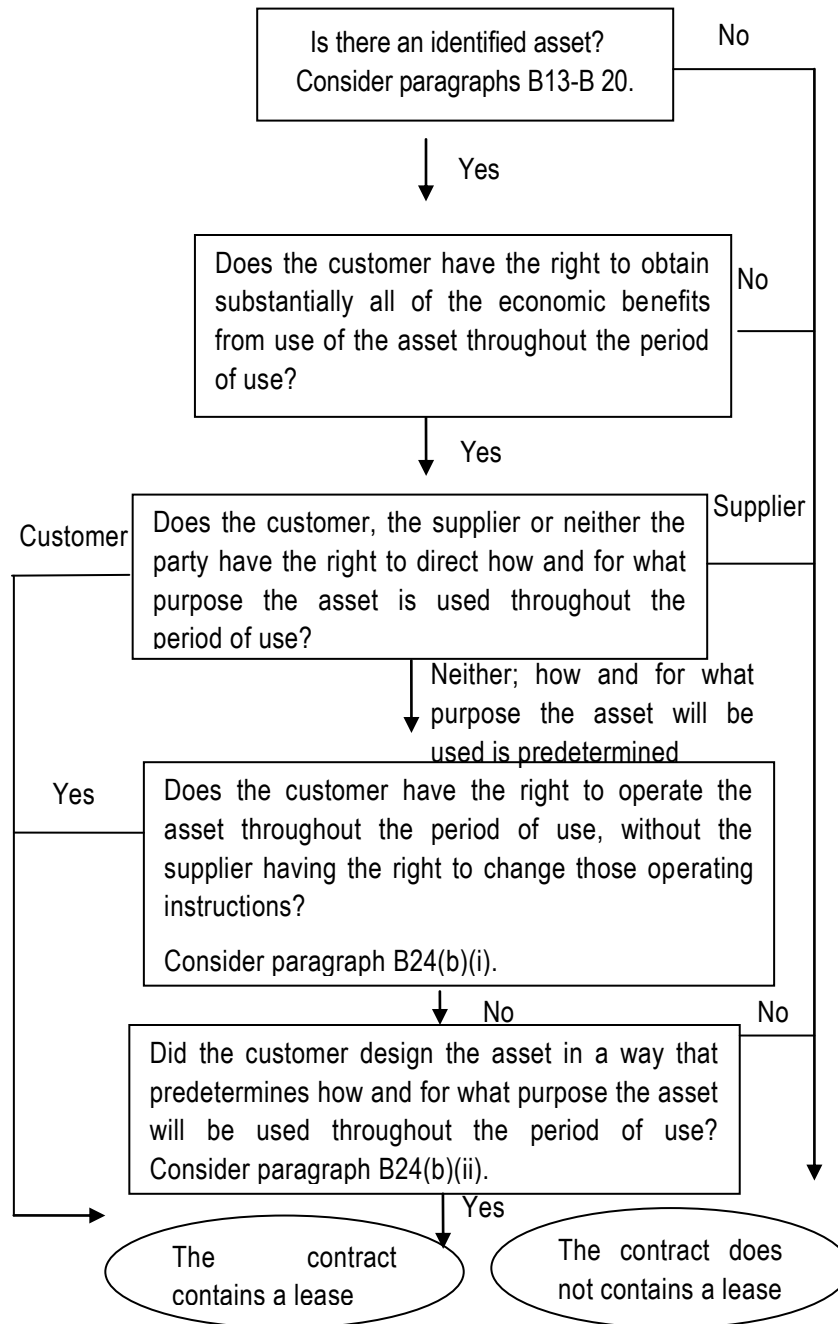
The short-term lease exemption must be applied consistently to all underlying assets in the same class. The low value lease exemption, in contrast, may be applied on a lease-by-lease basis.

If an entity applies either exemption, it must disclose that fact and certain information to make the effect of the exemption known to users of its financial statements. (Refer – Disclosure)

Identifying a lease

At inception of a contract, an entity shall assess whether the contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

An entity shall reassess whether a contract is, or contains, a lease only if the terms and conditions of the contract are changed.



Identified assets

A contract contains a lease only if it relates to an identified asset. An asset can be either explicitly specified in a contract or implicitly specified at the time it is made available for use by the customer.

Substantive substitution rights

Even if an asset is specified, a customer does not have the right to use an identified asset if the supplier has the substantive right to substitute the asset throughout the period of use. A supplier's right to substitute an asset is substantive if both of the following conditions are met:

- The supplier has the practical ability to substitute alternative assets throughout the period of use; and
- The supplier would benefit economically from the exercise of its right to substitute the asset.

Portions of assets

A capacity portion of an asset is an identified asset if it is physically distinct (for example, a floor of a building). A capacity or other portion of an asset that is not physically distinct (for example, a capacity portion of a fibre optic cable) is not an identified asset, unless it represents substantially all of the capacity of the asset and thereby provides the customer with the right to obtain substantially all of the economic benefits from use of the asset.

Right to obtain economic benefits from use

To determine whether a contract conveys the right to control the use of an identified asset, a company assesses whether the customer has the rights to:

- obtain substantially all of the economic benefits from use of the identified asset throughout the period of use; and
- direct the use of the identified asset.

The economic benefits from using an asset include its primary output, by-products and other economic benefits from using the asset that could be realised from a commercial transaction with a third party (e.g. subleasing the asset).

In assessing whether a customer has a right to obtain substantially all the economic benefits from the use of an identified asset, the assessment should

be made based on the asset's use within the defined scope of the contract. For example:

- If a contract limits the use of a vehicle to only a particular geographic area, an entity assesses only the economic benefits from use of the motor vehicle within that territory. It does not consider what economic benefits could be obtained had there not been any geographical restriction in the contract.
- If a contract specifies that a machine can only be utilised during specific times of the day, an entity assesses only the economic benefits from use of the machinery during that time of the day. It does not consider what economic benefits could be obtained from using the machine for 24 hours a day.

Right to direct the use

A customer has the right to direct the use of an identified asset in either of the following situations:

- if the customer has the right to direct how and for what purpose the asset is used throughout the period of use; or
- if the relevant decisions about how and for what purpose the asset is used are predetermined and:
 - the customer has the right to operate the asset (or to direct others to operate the asset in a manner that it determines) throughout the period of use, without the lessor having the right to change those operating instructions; or
 - the customer designed the asset in a way that predetermines how and for what purpose the asset will be used throughout the period of use.

Separating component of contract

For a contract that contains a lease component, an entity accounts for each lease component within the contract separately from non-lease components. However, a lessee may apply a practical expedient by class of underlying asset, and ignore the requirement to separate non-lease components (such as services) from the lease components. Instead it may account for the entire contract as a single lease contract.

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If this practical expedient is not used, a lessee must allocate the total contract consideration to the lease and non-lease component on the basis of their relative stand-alone prices. If standalone prices are not available, then they must be estimated.

An entity considers the right to use an underlying asset as separate lease component if it meets following criteria:

- Lessee can benefit from using that underlying asset either on its own or together with other resources that are readily available.
- Asset is neither highly dependent on nor highly inter related with the other assets in contract.

The charges incurred which are associated with lease that does not transfer good or services to lessee do not give rise to a separate component. However, they are part of total consideration that an entity allocates to the identified component.

Combination of contracts

An entity shall combine two or more contracts entered into at or near the same time with the same counterparty (or related parties of the counterparty), and account for the contracts as a single contract if one or more of the following criteria are met:

- a) contracts are negotiated as a package with an overall commercial objective that cannot be understood without considering the contracts together;
- b) the amount of consideration to be paid in one contract depends on the price or performance of the other contract; or
- c) the rights to use underlying assets conveyed in the contracts (or some rights to use underlying assets conveyed in each of the contracts) form a single lease component.

Lease term

If a contract is, or contains, a lease, the lease term needs to be determined. The lease term begins on the commencement date (i.e. the date on which the lessor makes the underlying asset(s) available for use by the lessee) and includes any rent-free or reduced rent periods. It comprises:

- a) the non-cancellable period of the lease;
- b) periods covered by an option to extend the lease if the lessee is reasonably certain to exercise that option; and
- c) periods covered by an option to terminate the lease if the lessee is reasonably certain not to exercise that option.

A lease is no longer enforceable when the lessee and the lessor each have the right to terminate the lease without permission from the other party with no more than an insignificant penalty.

An entity shall revise the lease term if there is a change in the non-cancellable period of a lease.

Extension and termination options

At commencement date, entity should assess whether lessee is reasonably certain:

- to exercise an option to extend the lease;
- to exercise an option to purchase the underlying asset; or
- not to exercise an option to terminate the lease

In making such assessment entity considers all relevant facts and circumstances that creates an economic incentive for the lessee to exercise or not to exercise, the option including any expected changes in facts and circumstances from the commencement date until exercise date of option. The standard also gives examples of factors that may be considered in making such an assessment.

A lessee's past practice with leases, particularly leases of similar assets, should also be considered in determining the likelihood of options being exercised.

Lessee

Recognition of lease

On the commencement of the lease, lessee needs to recognise the right-of-use asset and measure it at cost. Lessee should also recognise a lease liability and measure it at the present value of the lease payments that are not paid at that date. The lease payments should be discounted using the

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interest rate implicit in the lease, if readily determinable or else using the lessee's incremental borrowing rate.

Cost = Lease Liability + Lease payments made – lease incentives received + initial direct costs + estimated dismantling and restoration costs.

Lease Payments = Fixed payments (including in-substance fixed lease payments) – lease incentives + variable payments + expected guaranteed residual value + exercise price of purchase option (if reasonably certain to be exercised) + penalties for termination (if reasonably certain to be terminated).

In-substance fixed lease payments are payments that may, in form, contain variability but that, in substance, are unavoidable.

Subsequent measurement of right-of-use asset

Subsequently, the right-of-use asset shall be measured by applying a cost model or revaluation model if the underlying asset belongs to the class of assets to which the entity applies revaluation model as per Ind AS 16, *Property, Plant and Equipment*.

Cost model

Lessee shall measure the right-of-use asset at cost less accumulated depreciation as per Ind AS 16 and any accumulated impairment losses as per Ind AS 36.

Lessees adjust the carrying amount of the right-of-use asset for remeasurement of the lease liability, unless the carrying amount has already been reduced to zero or the change in the lease liability relates to a variable lease payment that does not depend on an index or rate.

Subsequent measurement of lease liability

After initial recognition, the lease liability is measured at amortised cost using the effective interest method and remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments.

Reassessment of lease liability

A lessee shall remeasure the lease liability by discounting the revised lease payments using a revised discount rate, if either

- there is a change in the lease term
- there is a change in the assessment of an option to purchase the underlying asset

lessee shall determine the revised discount rate as the interest rate implicit in the lease for the remainder of the lease term, if that rate can be readily determined, or the lessee's incremental borrowing rate at the date of reassessment, if the interest rate implicit in the lease cannot be readily determined.

A lessee shall remeasure the lease liability by discounting the revised lease payments, using unchanged discount rates, if either

- there is a change in the amounts expected to be payable under a residual value guarantee
- there is a change in future lease payments resulting from a change in an index or a rate used to determine those payments

Lease modification

A lessee accounts for a lease modification as a separate lease if both of the following conditions exist:

- the modification increases the scope of the lease by adding the right-to-use one or more underlying assets; and
- the consideration for the lease increases by an amount equivalent to the stand-alone price for the increase in scope and any appropriate adjustments to that stand-alone price to reflect the circumstances of the particular contract.

For a lease modification that is not a separate lease, at the effective date of the modification, the lessee accounts for the lease modification by remeasuring the lease liability using a discount rate determined at that date and:

- for lease modifications that decrease the scope of the lease, the lessee decreases the carrying amount of the right-of-use asset to reflect the partial or full termination of the lease, and recognises a gain or loss that reflects the proportionate decrease in scope; and

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- for all other lease modifications, the lessee makes a corresponding adjustment to the right-of-use asset.

Presentation

The right-of-use assets should be either presented separately from other assets in the balance sheet or disclosed in the notes. If not presented separately, they should be presented in the appropriate line item of the balance sheet as if they were owned and disclose in the notes the line items which include such assets.

The lease liabilities should be presented either separately from other liabilities in the balance sheet or disclose in the notes the line items which include the lease liabilities.

Right-of-use assets that meet the definition of investment property are presented within investment property.

In the statement of profit and loss, a lessee shall present interest expense on the lease liability separately from the depreciation charge for the right-of-use asset. Interest expense on the lease liability is a component of finance cost that requires to be presented separately in the statement of profit and loss.

In the statement of cash flows, a lessee shall classify:

- a) cash payments for the principal portion of the lease liability within financing activities;
- b) cash payments for the interest portion of the lease liability within financing activities applying the requirements in Ind AS 7, *Statement of Cash Flows*, for interest paid; and
- c) short-term lease payments, payments for leases of low-value assets and variable lease payments not included in the measurement of the lease liability within operating activities.

Lessor

Classification of leases

A lessor shall classify each of its leases as either an operating lease or a finance lease. A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership of an underlying asset. A lease is classified as an operating lease if it does not

transfer substantially all the risks and rewards incidental to ownership of an underlying asset.

Whether a lease is a finance lease or an operating lease depends on the substance of the transaction rather than the form of the contract. Examples of situations that individually or in combination would normally lead to a lease being classified as a finance lease are:

- a) the lease transfers ownership of the underlying asset to the lessee by the end of the lease term;
- b) the lessee has the option to purchase the underlying asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception date, that the option will be exercised;
- c) the lease term is for the major part of the economic life of the underlying asset even if title is not transferred;
- d) at the inception date, the present value of the lease payments amounts to at least substantially all of the fair value of the underlying asset; and
- e) the underlying asset is of such a specialised nature that only the lessee can use it without major modifications.

Indicators of situations that individually or in combination could also lead to a lease being classified as a finance lease are:

- a) if the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;
- b) gains or losses from the fluctuation in the fair value of the residual accrue to the lessee (for example, in the form of a rent rebate equaling most of the sales proceeds at the end of the lease); and
- c) the lessee has the ability to continue the lease for a secondary period at a rent that is substantially lower than market rent.

The above indicators are not always conclusive. If it is clear from other features that the lease does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset, the lease is classified as an operating lease. For example, this may be the case if ownership of the underlying asset transfers at the end of the lease for a variable payment equal to its then fair value, or if there are variable lease payments, as a

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result of which the lessor does not transfer substantially all such risks and rewards.

Lease classification is made at the inception date and is reassessed only if there is a lease modification. Changes in estimates (for example, changes in estimates of the economic life or of the residual value of the underlying asset), or changes in circumstances (for example, default by the lessee), do not give rise to a new classification of a lease for accounting purposes.

Finance lease and Operating lease

Recognition and measurement

Particulars	Finance lease	Operating lease
Balance Sheet impact	Derecognise the underlying asset.	Continue to present the underlying asset.
	Present lease receivables at an amount equal to the net investment in lease.	Add any initial direct costs incurred in connection with obtaining the lease to the carrying amount of the underlying asset.
Statement of profit and loss	Lessor shall recognise finance income over the lease term, based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease.	Lessor shall recognise lease payments from operating leases as income on either a straight-line basis or another systematic basis. The lessor shall apply another systematic basis if that basis is more representative of the pattern in which benefit from the use of the underlying asset is diminished.
Statement of profit	Revenue being the fair value of the underlying	Recognise depreciation expense over the useful

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and loss: In case manufacturer or dealer is lessor	asset, or, if lower, the present value of the lease payments accruing to the lessor, discounted using a market rate of interest.	life of asset.
	The cost of sale being the cost, or carrying amount if different, of the underlying asset less the present value of the unguaranteed residual value.	
	Selling profit or loss in accordance with its policy for outright sales to which Ind AS 115 applies.	

A lessor initially measures a finance lease receivable at the present value of the future lease payments plus any unguaranteed residual value accruing to the lessor. The lessor discounts these amounts using the interest rate implicit in the lease.

A lessor includes the following lease payments in the measurement of the finance lease receivable:

- fixed payments (including in-substance fixed payments), less lease incentives payable;
- variable payments that depend on an index or rate;
- residual value guarantees provided to the lessor at the guaranteed amount;
- the exercise price of purchase options if the lessee is reasonably certain to exercise; and
- termination penalties payable in accordance with the expected lease term.

Manufacturer or dealer as lessor

At the commencement date, a manufacturer or dealer lessor recognises the following:

- The fair value of the underlying asset as revenue (or if lower, the present value of the lease payments discounted using a market rate of interest).
- The cost (or carrying amount) of the asset less the present value of the unguaranteed residual value, as cost of sale.
- The selling profit or loss in accordance with the policy for outright sales. A manufacturer or dealer lessor recognises selling profit or loss on a finance lease at the commencement date, regardless of whether the lessor transfers the underlying asset as described in Ind AS 115.

After lease commencement, a lessor accounts for a finance lease, as follows:

- Recognises finance income (in profit or loss) over the lease term in an amount that produces a constant periodic rate of return on the remaining balance of the net investment in the lease (i.e., using the interest rate implicit in the lease). Income is recognised on the components of the net investment in the lease, including:
 - Interest on the lease receivable; and
 - Interest via accretion of the unguaranteed residual asset to its expected value at the end of the lease.
- Reduces the net investment in the lease for lease payments received (net of finance income calculated above).
- Separately recognises income from variable lease payments that are not included in the net investment in the lease (e.g., performance- or usage-based variable payments) in the period in which that income is earned.
- Recognises any impairment of the net investment in the lease.

Lease modification

A lessor accounts for a modification to a finance lease as a *separate lease* if both of the following conditions exist:

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- the modification increases the scope of the lease by adding the right to use one or more underlying assets; and
- the consideration for the lease increases by an amount commensurate with the stand-alone price for the increase in scope and any appropriate adjustments to that stand-alone price to reflect the circumstances of the particular contract.

If the modification is not a separate lease, then the lessor accounts for a modification to a finance lease as follows:

- if the lease would have been classified as an operating lease if the modification had been in effect at the inception date, then the lessor:
 - accounts for the lease modification as a new lease from the effective date of the modification; and
 - measures the carrying amount of the underlying asset as the net investment in the original lease immediately before the effective date of the lease modification; or otherwise
- otherwise, applies the requirements of Ind AS 109.

Presentation

Lessor shall present underlying assets subject to operating leases in its balance sheet according to the nature of the underlying asset.

Disclosures

The objective of the disclosures is for lessors to disclose information in the notes that, together with the information provided in the balance sheet, statement of profit or loss and statement of cash flows, gives a basis for users of financial statements to assess the effect that leases have on the financial position, financial performance and cash flows of the lessor.

Type of disclosure	Finance lease	Operating lease
Quantitative disclosure	Selling profit and loss	Lease income relating to variable lease payments that do not depend on an index or rate
	Finance income on the	Other lease income

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	net investment in the lease	
	Lease income relating to variable lease payments not included in the net investment in the lease	Detailed maturity analysis of the lease payments receivable
	Significant changes in the carrying amount of the net investment in the lease	If applicable, disclosures in accordance with Ind AS 16 (separately from other assets), Ind AS 36, Ind AS 38, Ind AS 40 and Ind AS 41.
Qualitative disclosures	Significant changes in the carrying amount of the net investment in the lease	
	A lessor shall disclose a maturity analysis of the lease payments receivable, showing the undiscounted lease payments to be received on an annual basis for a minimum of each of the first five years and a total of the amounts for the remaining years. A lessor shall reconcile the undiscounted lease payments to the net investment in the lease. The reconciliation shall identify the unearned finance income relating to the lease payments receivable and any discounted unguaranteed	

	residual value.	
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Sublease

A lessee may become an intermediate lessor if it subleases an asset leased from another lessor (the 'head lessor'). An intermediate lessor classifies the sublease as a finance lease or as an operating lease with reference to the right-of-use asset arising from the head lease. That is, the intermediate lessor treats the right-of-use asset as the underlying asset in the sublease, not the underlying asset that it leases from the head lessor.

At the commencement date of the sublease, if the intermediate lessor cannot readily determine the interest rate implicit in the sublease, then it uses the discount rate that it uses for the head lease to account for the sublease, adjusted for any initial direct costs associated with the sublease.

However, if the head lease is a short-term lease for which the company, as a lessee, has elected the short-term lease exemption, then as an intermediate lessor the company classifies the sublease as an operating lease.

Sale and leaseback transactions

In a sale-and-leaseback transaction, an entity (seller-lessee) sells an asset to another entity (buyer-lessor) who then leases it back to the seller-lessee.

In order to determine the appropriate accounting treatment under Ind AS 116, the sale must first be assessed as to whether it qualifies as a sale in accordance with the requirements of Ind AS 115, *Revenue from Contracts with Customers*.

If the transfer of an asset by the seller-lessee satisfies the requirements of Ind AS 115 to be accounted for as a sale of the asset:

- a) the seller-lessee shall measure the right-of-use asset arising from the leaseback transaction at the proportion of the previous carrying amount of the asset that relates to the right of use retained by the seller-lessee. Accordingly, the seller-lessee shall recognise only the amount of any gain or loss that relates to the rights transferred to the buyer-lessor.
- b) the buyer-lessor shall account for the purchase of the asset applying applicable Standards, and for the lease applying the lessor accounting requirements in this Standard.

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Adjustments are required if consideration for the sale is not at fair value and/or payments for the lease are not at market rates. These adjustments result in recognition of:

- Prepayment to reflect below-market terms.
- Additional financing provided by the buyer-lessor to the seller-lessee to reflect above-market terms.

If the transfer of an asset by the seller-lessee does not satisfy the requirements of Ind AS 115 to be accounted for as a sale of the asset:

- a) the seller-lessee shall continue to recognise the transferred asset and shall recognise a financial liability equal to the transfer proceeds. It shall account for the financial liability applying Ind AS 109.
- b) the buyer-lessor shall not recognise the transferred asset and shall recognise a financial asset equal to the transfer proceeds. It shall account for the financial asset applying Ind AS 109.

Sublease on transition

- At the date of initial application, an intermediate lessor reassesses ongoing subleases that were classified as operating leases under Ind AS 17 to determine whether each sublease should be classified as an operating lease or a finance lease under Ind AS 116. This assessment is made on the basis of the remaining contractual terms and conditions of the head lease and sublease.
- For subleases classified as operating leases under Ind AS 17 but finance leases under Ind AS 116, a lessor accounts for the sublease as a new finance lease entered into at the date of initial application.

Transition date accounting

Definition of lease

On transition to Ind AS 116, companies can choose whether to:

- apply the new definition of a lease to all of their contracts; or
- not to apply to contracts that were not previously identified as containing lease applying Ind AS 17.

Transition accounting: In the books of Lessee

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A lessee is permitted to:

- Adopt the standard retrospectively. This approach results in an entity applying Ind AS 116 to all periods presented as if it had always been applied. Application of the full retrospective approach requires presentation of a third balance sheet in accordance with Ind AS 1, *Presentation of Financial Statements*.

or

- Follow a modified retrospective approach. The modified approach does not require restatement of comparative periods. Instead the cumulative impact of applying Ind AS 116 is accounted for as an adjustment to equity at the start of the current accounting period in which it is first applied, known as the 'date of initial application'.

A lessee applies this election consistently to all of its leases:

Operating lease	Lease liability	Remaining lease payments, discounted using lessee's incremental borrowing rate at the date of initial application.
	Right-of-use asset	Retrospective calculation, using a discount rate based on lessee's incremental borrowing rate at the date of initial application. or Amount of lease liability (adjusted by the amount of any previously recognised prepaid or accrued lease payments relating to that lease). (Lessee can choose one of the alternatives on a lease-by-lease basis.)
Finance lease	Lease liability	Carrying amount of the lease liability immediately before the date of initial application.
	Right-of-use asset	Carrying amount of the lease asset immediately before the date of initial

	asset	application.
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Modified retrospective approach: Practical expedient for operating lease

In applying the modified retrospective approach, several practical expedients are available for leases that were previously categorised as operating leases under Ind AS 17. On a lease-by-lease basis, a lessee may:

- a) Apply a single discount rate to a portfolio of leases with reasonably similar characteristics.
- b) Rely on its assessment of whether a lease is onerous by applying Ind AS 37 immediately before the date of initial application, as an alternative to performing an impairment review. If this is chosen, then right of use asset should be adjusted by amount of any provisions for onerous leases recognized before the date of transition.
- c) Not recognise leases whose term ends within 12 months of the date of initial application (use short-term lease accounting).
- d) Exclude initial direct costs from the measurement of ROU assets at the date of initial application.
- e) Use hindsight, such as in determining the lease term if the contract contains options to extend or terminate the lease.

Transition accounting: In the books of Lessor

Except for subleases and sale-and-leaseback transactions, a lessor does not make any adjustments on transition:

Sales and leaseback transaction:

For a sale-and-leaseback transaction accounted for as a sale and finance lease in accordance with Ind AS 17, the seller-lessee:

- accounts for the leaseback in the same way as for any finance lease that exists at the date of initial application; and
- continues to amortise any gain on the sale over the lease term.

For a sale-and-leaseback transaction accounted for as a sale and operating lease in accordance with Ind AS 17, the seller-lessee:

- accounts for the leaseback in the same way as for any other operating lease that exists at the date of initial application; and

- adjusts the leaseback right-of-use asset for any deferred gains or losses that relate to off-market terms recognised in the statement of financial position immediately before the date of initial application.

Amount previously recognised in respect of business combination

If a lessee previously recognised an asset or a liability applying Ind AS 103, *Business Combinations*, relating to favourable or unfavourable terms of an operating lease acquired as part of a business combination, the lessee shall derecognise that asset or liability and adjust the carrying amount of the right-of-use asset by a corresponding amount at the date of initial application.

II. Frequently Asked Questions

(These FAQs are meant only to illustrate various requirement of Ind AS 116. It may be emphasised that where the facts and circumstances are different from those described in the relevant FAQ, the response as given herein may not hold valid.)

Scope

Question 1:

Whether the following rights obtained by Entity X would be within the scope of Ind AS 116?

- (a) Rights to explore for oil and use oil from an oilfield Y for 25 years
- (b) Rights to access the land which contains the oil ("surface lease")
- (c) Right to lay down water pipelines over the surface of the land adjacent to the land which contains oil field. Entity X requires water in the oil extraction process).

Response

Paragraph 3 of Ind AS 116, *Leases* states as follows:

"An entity shall apply this Standard to all leases, including leases of right-of-use assets in a sublease, except for:

- (a) leases to explore for or use minerals, oil, natural gas and similar non-regenerative resources;
- (b)"

Paragraph 3 of Ind AS 16, *Property, Plant and Equipment*, *inter alia*, states as follows:

"This Standard does not apply to:

- (a)
- (c) mineral rights and mineral reserves such as oil, natural gas and similar non-regenerative resources.

However, this Standard applies to property, plant and equipment used to develop or maintain the assets described in (b)–(d)."

The following position emerges on a combined reading of Ind AS 116 and Ind AS 16.

Cases (a) and (b)

The words “*leases to explore for or use minerals, oils...*” include only those leases that provide the right to explore and/or extract oil (i.e. (a) and (b) above). To get access to the actual area where the oil may lie, entities may have to enter into another lease for the surface of that area. The lease for the surface of the area gives entity the right, for example, drill a well to get access to oil that lies within.

In view of the above, rights obtained under (a) and (b) above would not get covered under Ind AS 116.

Case (c)

The assets used in development or maintenance of mineral rights and mineral reserves such as oil, natural gas and similar non-regenerative resources are covered under Ind AS 16 and the rights to explore for or use of such assets are covered under Ind AS 116.

Thus, the purpose of land adjacent to the oil field ((c) above) is to transport water to be used in the extraction process. The lease under (c) relates to the process of the extraction of oil rather than providing right of exploration for, or the right of extraction or use of, the oil. Accordingly, it is not covered by the scope exclusion in paragraph 3(a) of Ind AS 116 and the standard therefore applies to this lease.

Question 2

Entity X, a private sector entity, enters into a contract with the Transport Ministry (the grantor) of Country S to acquire the right to operate the civil air navigation system in Country S. Under this contract:

- the grantor provides the air navigation system;
- X is required to upgrade the system;
- X will charge users based on rates negotiated directly by it with individual users;
- there is no price-cap mechanism imposed by the grantor; and
- the contract is for a period of 10 years.

Whether the contract would be within the scope of Ind AS 116?

Educational Material on Ind AS 116

Response

Paragraph 3 of Ind AS 116 *inter-alia* states as follows:

“An entity shall apply this Standard to all leases, including leases of right-of-use assets in a sublease, except for:

- (a)
- (c) service concession arrangements within the scope of Appendix D, *Service Concession Arrangements*, of Ind AS 115, *Revenue from Contracts with Customers*;....”

Further paragraph 5 of Appendix D to Ind AS 115 states as follows:

“This Appendix applies to public-to-private service concession arrangements if:

- (a) the grantor controls or regulates what services the operator must provide with the infrastructure, to whom it must provide them, and at what price; and
- (b) the grantor controls—through ownership, beneficial entitlement or otherwise—*any significant residual interest in the infrastructure at the end of the term of the arrangement.*”[Emphasis added]

If either of the above conditions is not met, the Appendix D to Ind AS 115 does not apply.

Paragraph 2 of Appendix D *Service Concession Arrangements* of Ind AS 115, *Revenue from Contracts with Customers*, *inter alia* states that, “an arrangement within the scope of this Appendix typically involves a private sector entity (an operator) constructing the infrastructure used to provide the public service or upgrading it (for example, by increasing its capacity) and operating and maintaining that infrastructure for a specified period of time. The operator is paid for its services over the period of the arrangement. The arrangement is governed by a contract that sets out performance standards, mechanisms for adjusting prices, and arrangements for arbitrating disputes. Such an arrangement is often described as a ‘build-operate-transfer’, a ‘rehabilitate-operate-transfer’ or a ‘public-to-private’ service concession arrangement.”

In the given case, the arrangement has many characteristics of a public-to-private service concession arrangement - e.g. the grantor is a public sector

body, the operator is a private sector body, the operator is responsible for the upgrade and operation of the service concession infrastructure and the infrastructure is used pursuant to public policy. However, under the terms of the contract the grantor does not control prices. Therefore, the contract is not in the scope of Appendix D of Ind AS 115 and the right to use the air navigation system would be within the scope of Ind AS 116.

Question 3

Operator X enters into a service concession arrangement, with Grantor G to operate a rail service for 15 years. The arrangement is considered to be in the scope of Appendix D, *Service Concession Arrangements*, of Ind AS 115, *Revenue from Contracts with Customers*. X enters into a contract with Entity Y (lessor) to lease the infrastructure, i.e. rolling stock to operate the rail service. The useful life of rolling stock is 25 years. X has the obligation to pay the lessor. During the concession period, G controls the services that X delivers by setting the timetable to which the rolling stock must be operated and regulates the price that X charges passengers. At the end of the concession, G has an option to acquire the rolling stock or to otherwise direct its use.

Whether the contract of Operator X with Entity Y would be within the scope of Ind AS 116?

Response

Paragraphs 7 and 11 of Appendix D of Ind AS 115, *inter-alia*, states as follows:

“7 This Appendix applies to both:

- (a) infrastructure that the operator constructs or acquires from a third party for the purpose of the service arrangement; and
- (b)”.

“11 Infrastructure within the scope of this Appendix shall not be recognised as property, plant and equipment of the operator because the contractual service arrangement does not convey the right to control the use of the public service infrastructure to the operator. The operator has access to operate the infrastructure to provide the public service on behalf of the grantor in accordance with the terms specified in the contract.”